

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

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INTERNATIONAL LONGSHOREMAN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	
	:	
v.	:	FMC Docket No.: 22-12
	:	
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND	:	
SSA ATLANTIC, LLC,	:	
	:	
Respondents.	:	
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**RESPONDENTS’ PARTIAL MOTION TO DISMISS THE
FIRST AMENDED VERIFIED COMPLAINT
AND MOTION TO STRIKE PRAYER FOR REPARATIONS**

Pursuant to 46 C.F.R. §§ 502.69-502.70, Respondents Gateway Terminals, LLC (“Gateway”), Charleston Stevedoring Company, LLC (“CSC”), Ports America Florida, Inc. (“PA”), Ceres Marine Terminals, Inc. (“Ceres”), and SSA Atlantic, LLC (“SSA”) hereby move for partial dismissal of the First Amended Verified Complaint (the “Amended Complaint”) filed by the International Longshoreman’s Association (“ILA”) and move to strike ILA’s prayer for reparations.

Respondents respectfully request that the Commission dismiss Counts Two, Three, and Four of the Amended Complaint for failure to state a claim for which relief can be granted. The Amended Complaint fails to meet threshold pleading standards necessary to establish the substantive violations of the Shipping Act provisions invoked in each of these counts.

Most strikingly, ILA's new Count Four is built on an unprecedented and counter-statutory premise that the Shipping Act's prohibition on unreasonable refusals to deal (section 41106(3)) empowers the Commission to regulate and dictate labor negotiations between employers and longshore unions. Count Four clearly is barred by 46 USC § 40301(d), which provides that the Shipping Act does not extend to maritime labor agreements (either collective bargaining agreements themselves or agreements among employers relating to collective bargaining), a principle that the ILA itself historically has staunchly defended. In this proceeding, however, ILA is taking the unprecedented step of urging the Commission to intrude into the negotiation and adjudication of collective bargaining issues that are within the exclusive jurisdiction of the National Labor Relations Board. Count Four should be dismissed immediately for failure to state a claim for which relief can be granted.

Count Four is not the only cause of action in the Amended Complaint that would jettison decades of FMC precedent and upend the Shipping Act's statutory scheme. In Count Two, ILA claims that Respondents have caused undue or unreasonable prejudice or disadvantage with respect to any person in violation of 46 U.S.C. § 41106(2) based solely on the alleged creation of a monopoly, leading to alleged price increases. The Amended Complaint fails to plead any specific instances of any disparate treatment of any particular party. Instead, the Amended Complaint seems to suggest that shippers and carriers *generally* have been disadvantaged. There is no basis in Shipping Act jurisprudence for repurposing the Act's prohibition on unreasonable discrimination against "any person" into a standard for regulating competition and rates broadly across a relevant market. Indeed, Count Two on its face is just a rebranding of an alleged breach of the "6(g)" competition standard in 46 U.S.C. § 41307(b)(1) (alleging a reduction in competition

resulting in an unreasonable increase in rates), to evade Congress' express bar on private complaint cases to enforce that standard. *See* 46 U.S.C. § 41301(a).

Similarly, in Count Three, ILA asserts that Respondents have violated § 41106(3), yet it fails to identify any particular victim, or any specific instances in which any Respondent unreasonably refused to deal. As with the discrimination claim in Count Two above, an unreasonable refusal to deal claim must include allegations of actual unreasonable refusals to negotiate or deal with specific parties. Section 41106(3) cannot be refashioned into a broad competition standard to avoid and supplant the Act's actual competition test, *i.e.*, the 6(g) injunctive test in § 41307(b). Thus, accepting all facts pled on the face of the Complaint as true, Counts Two, Three, and Four of ILA's Amended Complaint must be dismissed.

Respondents further request that the Commission strike ILA's prayer for monetary reparations because reparations are not an appropriate remedy in this action. The Amended Complaint does not specify any charge to be refunded, and ILA's only allegation of injury appears in Count Four, which for the reasons set forth below cannot stand. None of the other counts alleges injury to ILA and ILA cannot obtain reparations for injuries caused to non-parties, such as carriers.

I. FACTUAL BACKGROUND

A. State Action Drove Formation of Consolidated Stevedoring Companies

Gateway is a stevedoring company that operates in Savannah, Georgia, and a joint-venture ("JV") company ultimately owned by Marine Terminals Corporation – East ("MTCE"),¹ Ceres, and SSA. CSC is a stevedoring company that operates in Charleston, South Carolina, and a JV company also owned by MTCE, Ceres, and SSA. Prior to 2019, MTCE, Ceres and SSA each provided stevedoring services independently in both Charleston and Savannah. In Savannah,

¹ MTCE is an affiliated company of PA.

MTCE, Ceres and SSA combined their respective stevedoring assets into the pre-existing Gateway entity that managed gate services, as Georgia Ports Authority (“GPA”) wanted stevedoring services to be consolidated into one provider. CSC was created after the South Carolina Ports Authority similarly raised concerns about the operational inefficiencies generated by multiple stevedoring companies working in each port. Having multiple stevedores operating competitively in the same space was recognized by the state policymakers as an obstacle to necessary port reforms, such as optimizing the physical configurations of the ports, more closely integrating terminal and stevedoring operations, updating and unifying the parties’ operating systems, more efficiently utilizing equipment in the facility, and reducing redundant administrative and backroom costs that impaired the competitiveness of each port. To avoid undue disruption of existing commercial relationships between stevedores and carriers, each port gave SSA, Ceres and MTCE the option of proposing a single joint venture stevedoring-services provider, which the parties ultimately pursued in 2019 forming CSC in Charleston and consolidating stevedoring services into Gateway in Savannah, each of which operate independently of one another.

Each port required the respective JV to execute a license agreement authorizing it to engage in consolidated stevedoring services, subject to certain conditions, including the requirement to provide competitive rates. Gateway also agreed with the Georgia Ports Authority to allow GPA to oversee its stevedoring rates to assure competitiveness. The licenses included various other performance requirements imposed upon each JV designed to increase operational efficiency.

B. FMC Agreement: Filing, Determination of No Jurisdiction, and Withdrawal

As part of the compliance process in connection with establishing their joint-venture operations, on March 29, 2019, Ceres, SSA and PA filed FMC Agreement No. 201293, the “Georgia – South Carolina Marine Terminal Operator Cooperative Working Agreement with the

Commission.” While it was their positions that the Commission lacks jurisdiction over providers of stevedoring services, Respondents noted that certain of their services – namely their role in gate operations and controlling access to the terminal – might have brought them within the scope of the Shipping Act’s definition of “marine terminal operator,” and therefore could have made their agreement subject to FMC filing under the Shipping Act. *See* 46 U.S.C § 40102(15) and 46 U.S.C § 40301(b). The Commission commenced a comprehensive review process pursuant to § 40304(d), gathering information from the parties regarding their current and planned operations and market conditions pursuant to a Request for Additional Information dated May 9, 2019. After an extensive internal process, the Commission’s General Counsel issued an opinion letter on August 6, 2019, in which he concluded that “the Parties to the agreement do not appear to be marine terminal operators (MTOs) as defined by the Shipping Act of 1984.” The parties elected not to contest the General Counsel’s jurisdictional determination before the full Commission. As a result of the opinion letter, the parties withdrew the proposed agreement from the Commission’s consideration by letter to the General Counsel, with copy to the Bureau of Trade Analysis, dated September 9, 2019.²

II. STANDARD OF REVIEW

Pursuant to § 502.12, the “Commission looks to . . . Rule 12(b)(6) when considering dismissals based on failure to state a claim.” *MAVL Capital v. Marine Transport Logistics*, No. 16-16, 2020 FMC LEXIS 216 at *6 (FMC Oct. 29, 2020). Thus, Counts Two, Three, and Four of the Amended Complaint cannot survive dismissal unless each states a “claim to relief that is plausible on its face[.]” meaning that the Amended Complaint “pleads factual content that allows

² Respondents argued in their Motion to Dismiss ILA’s original Verified Complaint that the Commission lacks jurisdiction because they are not marine terminal operators. In the ruling on that Motion, your honor indicated that the General Counsel’s opinion letter is not binding and cannot be used as a basis for dismissal. Respondents maintain and reserve their position that the Commission lacks jurisdiction, but do not reassert that argument here.

the court to draw the reasonable inference that [Respondents] are liable for the misconduct alleged.” See *Marine Transp. Logistics, Inc.*, No. 18-07, 2019 WL 5206007, at *2 (FMC Oct. 8, 2019) (citations omitted); see also *MCS Industries, Inc. v. Cosco Shipping Lines Co., Ltd.*, No. 21-05, 2022 WL 154535, at *3 (FMC Jan. 7, 2022) (describing plausibility standard of review for motion to dismiss).

III. ARGUMENT

A. Count Two of the Amended Complaint Should Be Dismissed Because ILA Fails to State a Claim for Undue or Unreasonable Prejudice or Disadvantage

Count Two of the Amended Complaint alleges that Respondents violated § 41106(2), which makes it unlawful for a marine-terminal operator (“MTO”) to impose any undue or unreasonable prejudice or disadvantage with respect to any person. The ILA asserts that carriers and shippers moving cargo through the ports of Charleston and Savannah generally are prejudiced by the reduction in competition allegedly caused by Gateway and CSC assuming the roles of sole terminal operators. See generally Am. Compl. ¶¶ 84-94. These allegations fail to establish the basis for a claim for which relief can be granted.

To successfully plead a discrimination (*i.e.*, unreasonable preference or prejudice) claim under the Shipping Act, a complainant must show: (1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice is the proximate cause of injury. See, *e.g.*, *Santa Fe Discount Cruise Parking, Inc., d/b/a Ez Cruise Parking v. Board of Trustees of the Galveston Wharves*, 2018 WL 6078212, at *14 (FMC Nov. 16, 2018) (citing *Ceres Marine Terminal, Inc. v. Maryland Port Administration (Ceres I)*, 27 S.R.R. 1251 (FMC 1997) (subsequent history omitted)). The ILA fails to plead facts establishing any of these factors. Indeed, the only “prejudice” alleged in Count Two is the assertion that

shippers who use the ports of Charleston and Savannah purportedly bear increased costs compared to shippers that use ports in other regions. Am. Compl. ¶ 94. However, there is no allegation that Respondents treat the shippers or carriers utilizing Charleston and/or Savannah differently. *See, e.g., Maher Terminals LLC v. Port Auth. of N.Y. and N.J.*, No. 12-02, 2015 WL 942618, at *13 (FMC Dec. 18, 2015) (noting that claimant “must allege facts that not only allow the Commission to reasonably infer that [it] was treated differently than other entities but also that allow the Commission to reasonably infer that the treatment constituted an unreasonable preference or prejudice”). Nor does the Amended Complaint allege that any shippers stopped utilizing the ports of Charleston and/or Savannah because of Respondents’ conduct. In short, the Amended Complaint does not identify any specific victims of this alleged discrimination, nor any specific injury arising therefrom. Thus, the Amended Complaint fails to “raise a right to relief above the speculative level and ... nudge claims across the line from conceivable to plausible.” *Marine Transp. Logistics, Inc.*, 2019 WL 5206007, at *3.

Moreover, ILA’s insinuation that the involvement of state policymakers in the JVs’ creation somehow contributes to the purported prejudice is misguided. *See* Am. Compl. ¶ 96. It is well known that Savannah and Charleston are operating ports, in which terminal real estate is controlled by the state ports authorities (not leased to private terminal operators), and containeryard services in those facilities are provided by public-sector workers employed by the state agency. The JVs were formed at the behest of the state port authorities, which elected to transition their stevedoring operations to a single stevedoring-concessionaire model to improve the operational efficiency of those facilities in the face of rising cargo volumes, looming terminal capacity constraints, and supply chain issues. Both South Carolina and Georgia have mandated appropriate separation between Gateway and CSC and have imposed state oversight to ensure that

pricing at each port is set independently and competitively, and Respondents have maintained appropriate internal controls in compliance with these State mandates. Even with this extensive state action and policy background underpinning Respondents' joint ventures, ILA failed to plead any facts to address the "transportation factors" element of a colorable § 41106(2) violation.

For these reasons, Count Two should be dismissed.

B. Count Three of the Amended Complaint Should Be Dismissed Because ILA Fails to State a Claim for Refusal to Deal and Negotiate.

In Count Three, ILA contends that Respondents have violated § 41106(3), which makes it unlawful for a marine terminal operator to unreasonably refuse to deal or negotiate with any person. ILA's claim is completely devoid of any specific supporting factual allegations.

"In evaluating a § 41106(3) claim, the Commission asks: (1) whether an entity refused to deal or negotiate; and (2) if so, whether the refusal was unreasonable." *Maier Terminals LLC*, 2015 WL 9426189, at *6. "A refusal to deal is not unreasonable if it is "justified by particular circumstances in effect." *Id.* (citation omitted). Nowhere does ILA allege with whom any Respondents supposedly refused to deal or negotiate and/or on which occasions. *See generally* Am. Compl. ¶¶ 97-103. Instead, Count Three rests on bare assertions that Respondents have entered into an agreement to establish a monopoly and that negotiations with Gateway or CSC are "illusory." *Id.* ¶¶ 99-101. The closest Count Three comes to pleading a claim with any specificity is its allegation that "carriers" are unable to meaningfully negotiate, *id.* ¶ 102; however, ILA does not allege a *single* instance where Respondents purportedly have refused to "deal or negotiate." Similarly, ILA declines to plead any facts relevant to the unreasonableness test in § 41106(3) claim.

Accordingly, Count Three falls well short of stating a plausible claim for relief and should be dismissed.

C. Count Four of the Amended Complaint Should Be Dismissed Because ILA Fails to State a Claim for Refusal to Negotiate with the ILA and its Affiliated Locals.

Count Four asserts that Respondents have violated § 41106(3) by refusing to negotiate with the ILA and its affiliated local unions (referred to collectively in this section as the “Unions”). ILA contends that, prior to the establishment of the JVs, the Unions negotiated and administered collective bargaining and side agreements in both Charleston and Savannah ports, whereas the JVs “have consistently refused to recognize local agreements, side agreements, customs, and practices with respect to seniority, work hours, manning and discipline” that were previously agreed to and recognized in each port. *See* Am. Compl. ¶¶ 106-108.

These allegations fall short for two critical reasons. First, ILA overlooks that Title 46, Subtitle IV, Part A – that is, the Shipping Act in its entirety – does not apply to “maritime labor agreements.” § 40301(d). The term “maritime labor agreement” is broadly defined to make clear that the Commission has no jurisdiction over any agreements related to collective bargaining.³

As shown by its legislative history, the predecessor to the current § 40301(d), the Maritime Labor Amendments Act of 1980, was enacted largely in response to *FMC v. Pacific Maritime Association*, 435 U.S. 40 (1978), in which the Supreme Court held that maritime industry collective-bargaining agreements were subject to filing and approval requirements under the

³ The term “maritime labor agreement” is defined as follows”

- (i) a collective bargaining agreement between an employer subject to this part, or a group of such employers, and a labor organization representing employees in the maritime or stevedoring industry;
- (ii) an agreement preparatory to such a collective bargaining agreement among members of a multi-employer bargaining group; or
- (iii) an agreement specifically implementing provisions of such a collective bargaining agreement or providing for the formation, financing, or administration of a multi-employer bargaining group; but (B) does not include an assessment agreement.

46 U.S.C. § 40102(16).

Shipping Act. This holding was so far out-of-step with both longstanding FMC policy and industry consensus that it prompted legislation to prohibit the Commission's regulation of collective bargaining agreements, which was supported by stakeholders from across the industry. Many shipping and labor industry leaders – including the then-FMC Vice Chairman, Thomas Moakley, and the then-president of ILA, Thomas Gleason – appeared before Congress to explain the myriad problems that flow from granting the Commission jurisdiction over collective bargaining relationships. *See generally* Hearings Before the Subcomm. on Merchant Marine of the Comm. on Merchant Marine and Fisheries, 96th Cong. 39 (1980) (specifically, hearings on Collective Bargaining Agreements – H.R. 6614). Mr. Gleason's testimony emphasized the "chaos and uncertainty" in labor negotiations if the Commission had the power to approve collective bargaining agreements. *Id.* at 29. He also underscored the "understandable reluctance on the part of labor negotiators, who are unfamiliar with the complexities of the shipping statutes, to reach an agreement that might be undone by those unfamiliar complex statutes" and warned that FMC scrutiny of collective bargaining agreements in the maritime industry "jeopardized" the "peaceful resolution of labor disputes through collective bargaining." *Id.* These cautionary points, which were echoed and reinforced by maritime employers as well, remain as valid today as they did 42 years ago.⁴

In those hearings, Vice-Chairman Moakley advised that the Commission did not object to "deletion of collective bargaining agreements, agreements establishing multiemployer groups and agreements implementing collective bargaining funding obligations" from the scope of the

⁴ Just yesterday, ILA posted a strong statement on its website which, among other things, emphasized ILA's position that it is "clear that federal labor law is not within the FMC's jurisdiction or competence." *See* "ILA President Harold J. Daggett Sends Message to President Joe Biden Slamming Federal Maritime Commission, Posted July 7, 2022," at <https://ilaunion.org/2022/07/ila-president-harold-j-daggett-sends-message-to-president-joe-biden-slamming-federal-maritime-commission/>.

Shipping Act. *Id.* at 10 (“This was the [longstanding] status of such agreements . . . and, candidly, the present Commission would rather that status had never changed.”).

With this backdrop in mind, Count Four’s allegations clearly are not actionable. Count Four would see the Commission adjudicating labor management matters that are currently the subject of bargaining between the two sides and grievances pending arbitration proceeding before the Federal Mediation and Conciliation Service. The Commission, however, does not and cannot regulate and oversee whether the unions can meaningfully negotiate and administer collective bargaining terms in Charleston and Savannah, nor whether the JVs alleged refusal to recognize certain agreements and practice is unlawful. The claims asserted in Count Four are not covered by the Shipping Act and the count should be dismissed.

Second, and relatedly, Count Four also fails because the National Labor Relations Board (“NLRB”) possesses exclusive jurisdiction over unfair labor practices, including disputes regarding alleged interference with collective bargaining rights. As recently observed by the D.C. Circuit:

The National Labor Relations Act of 1935 . . . establishes a federal regime for managing labor relations and generally authorizes the [NLRB] resolve disputes between labor organizations and employers. . . . The United States Supreme Court has held that the NLRB’s jurisdiction is in general exclusive; that is, if a claim falls within the purview of the NLRB, state and federal courts are preempted from hearing it. . . . As the Court put it, “[w]hen an activity is arguably subject to § 7 or § 8 of the [NLRA], the States as well as the federal courts must defer to the exclusive competence of the [NLRB].” *Id.* This rule is referred to as “*Garmon* preemption.”

Dist. No. 1, Pac. Coast Dist., Marine Engineers’ Beneficial Ass’n, AFL-CIO v. Liberty Mar. Corp., 815 F. 3d 834, 839 (D.C. Cir. 2016) (citing, *inter alia*, *San Diego Bldg. Trades Council v. Garmon*, 359 U.S. 236, 245 (1959)). Accordingly, ILA is asking the Commission to adjudicate disputes

dispute that are squarely within the jurisdiction of the NLRB, and the Commission should decline to do so.

Moreover, at the discovery and later phases of this FMC proceeding, appropriate protections should be implemented by the Presiding Officer to ensure that FMC processes cannot be leveraged to influence, undermine or end-run policies, procedures and proceedings of the NLRB, Federal Mediation and Conciliation Service or other agencies for the proper adjudication and resolution of outstanding labor disputes between the parties.

D. ILA's Prayer for Reparations Should Be Stricken.

The Amended Complaint demands that the Commission order the Respondents to pay reparations “in an amount to be shown that is commensurate with Respondents’ violations of the Shipping Act . . .” and “in accordance with § 41107(a). Section 41107(a) provides that any person who violates Title 46, Subtitle IV, Part A is liable for a civil penalty and/or a refund of a charge. Because the Amended Complaint’s prayer for relief specifically requests “reparations,” it appears that ILA seeks a refund of a charge or reparations available under 46 U.S.C. § 41305 (or both).

Regardless of what ILA intended, however, there is no basis for any monetary payment to ILA and ILA’s prayer for reparations should be stricken. The Amended Complaint does not specify any “charge” paid by ILA that should be refunded. To the extent ILA seeks reparations under § 41305, the only injury alleged in the Amended Complaint is a purported reduction in hours and wages, and reduced revenue. *See* Am. Compl. ¶ 110. Those allegations appear in Count Four, which as shown above, is expressly barred by statute and fails to state a claim for relief. Moreover, ILA cannot maintain a claim for reparations for harm to non-parties like carriers. *See e.g., In Re Vehicle Carrier Services*, Nos. 16-01, 16-07, 16-10 and 16-11, 2018 WL 4091566, at *16 (FMC Aug. 21, 2018) (“46 U.S.C. § 41301(a) provides that ‘any person’ may file a complaint alleging a

violation of the Shipping Act, but 46 U.S.C. § 41305(b) limits reparations only to those that suffer ‘actual injury’ and longstanding Commission precedent holds that only direct purchasers suffer ‘actual injury.’”). Accordingly, ILA’s prayer for reparations should be stricken.

IV. CONCLUSION

For the foregoing reasons, Respondents respectfully request that the Commission dismiss Counts II, III, and IV of the Amended Complaint with prejudice, strike ILA’s prayer for reparations, and grant all such other and further relief as may be just and proper.

Dated July 8, 2022

Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Complainant's counsel of record by email on this 8th day of July 2022.



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